



SHARP GROWTH IN START-UPS

- India has seen a sharp growth in DPIIT-registered start-ups
- Nearly 115,000 start-ups have been registered since the launch of the StartUp India initiative in 2016

Year	Number of DPIIT-recognised start-ups
2019	10,659
2020	13,838
2021	19,424
2022*	26,360

FUND INFUSION KEY

- Q3 of 2023 witnessed a deal volume of 302 deals amounting to \$ 13.4 billion
- Start-ups accounted for 27 per cent of M&A volumes in the period

Sector	Volume	Value (\$ million)
Start-up	135	907
E-commerce	33	2,562
IT and ITeS	25	1,895
Retail and consumer	16	1,633
Pharma, healthcare and biotech	12	2,387

NOTE *DATA UP TO OCTOBER 31, 2023 **SOURCE** PARLIAMENT PAPER; GRANT THORNTON BHARAT'S DEALTRACKER REPORT FOR Q3

industry and discussions with the Department for Promotion of Industry and Internal Trade (DPIIT, which looks after start-ups), the finance ministry has provided some exemptions and flexibility from the levy. The CBDT has also exempted specified entities such as Sebi-registered Category 1 foreign portfolio investors, foreign investors related to central banks of other countries, sovereign wealth funds, endowment funds associated with a university, hospitals or charities and pension funds from 21 countries from the tax. It also provided five more valuation methods for non-resident investors, apart from the discounted cash flow (DCF, which arrives at the present value of expected future cash flows using a discount rate) and net asset value (NAV, the difference between the total value of all assets and all liabilities) methods available to resident investors. The final rules also



“I don’t think they have been able to fully address all the situations connected to the start-up ecosystem, which is getting hurt by the angel taxation rules”

GOKUL CHAUDHRI
PRESIDENT-TAX, DELOITTE INDIA

provide for the valuation of compulsorily convertible preference shares (CCPS)—a popular investment instrument—as well as a 10 per cent safe harbour.

Pritha Jha, Partner at Pioneer Legal, says that the tax changes for non-resident investors are now on par with domestic investors. “The CBDT has tried to accommodate some of the concerns of investors by providing a mechanism to arrive at fair market value for CCPS and keeping other valuation methodologies intact,” she notes.

Business Today’s emailed questionnaire to the CBDT remained unanswered till the time of going to press.

GREATER SCRUTINY?

Gokul Chaudhri, President-Tax at Deloitte India, says that the government likely hoped to curb some unhealthy practices related to the valuation of shares by ex-